EXECUTIVE SUMMARY

1. Introduction

Cabug was the former name of the Municipality of Enrile (Municipality), which was once a barrio of Tuguegarao. It became a separate town in September 1841, named in honor of Governor Pascual Enrile, who played a key role in constructing roads throughout Northern Luzon. Today, this 1st-class municipality produces rice, corn, tobacco, peanuts, and sugarcane. In 2015, Enrile was recognized as the "Peanut Capital of the Philippines," due to its status as the country's leading producer of peanuts.

The audit covered the accounts and operations of the Municipality for the year 2024 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs and projects and performed other audit procedures as deemed necessary.

2. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2024.

The objective of the audit is to determine whether the resources of the Municipality have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the Municipality.

3. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase/ (Decrease)
Assets	₱475,408,223.49	₱460,096,994.01	₱15,311,229.48
Liabilities	84,126,474.86	78,061,465.49	6,065,009.37

Accounts	2024	2023	Increase/ (Decrease)
Government Equity	391,281,748.63	382,035,528.52	9,246,220.11
Income	272,011,996.86	301,517,992.52	(29,505,995.66)
Expense	256,322,104.51	257,331,940.98	(1,009,836.47)
Net Income	15,689,892.35	44,186,051.54	(28,496,159.19)
Appropriation	245,193,383.58	280,146,928.26	(34,953,544.68)
Obligation	227,567,332.63	241,391,024.75	(13,823,692.12)

4. Operational Highlights

The following major programs, projects and activities charged under the different sources of funds of the Municipality were completed in CY 2024:

Project/Program/Activity Name	Location	Total Cost Incurred
Development of Sewerage System	Local Government Unit - Enrile	₱4,950,000.00
Construction of Gas Station	Municipal Government Center, Barangay II	3,484,511.80
Improvement of Government Infrastructure Project: Rehabilitation of Rizal Park	Barangay Villa Maria	1,424,005.46
Improvement of Municipal Hall Building	Municipal Government Center, Barangay II	3,193,303.82
Improvement of Municipal Hall Building (Extension of Mayor's Conference Hall) (Phase I)	Municipal Government Center, Barangay II	4,490,000.00
Construction of Multi-Purpose Building and Accessory	Municipal Government Center, Barangay II	3,212,246.10
Construction of Road	Municipal Government Center, Barangay II	1,978,048.93
Loan Amortization	Local Government Unit - Enrile	12,152,040.14
Supply and Installation of IP Based CCTV Camera Network	Barangay San Roque	349,777.00
Supply and Installation of IP Based CCTV Camera Network	Barangay San Jose	234,777.00
Construction of Artesian Wells	Barangay San Roque	533,425.22
Release of FA for the Purchase of Lot	Lemu Sur	500,000.00
Supply and Delivery of one (1) unit Mobile Clinic	MHO /LGU	10,490,000.00
Construction of Monolith	Local Government Unit - Enrile	2,000,052.18
Supply and Delivery of Livelihood Kits and Tilapia Aqua Culture and Trading	Local Government Unit - Enrile	994,686.00
Improvement of Government		

Project/Program/Activity Name	Location	Total Cost Incurred
Infrastructure: Landscaping of Rizal Park - Landscaping	Villa Maria	196,748.00
Infrastructure: Landscaping of Rizal Park - Supply and Delivery of Playground Sets		199,050.00
Supply and Delivery of Medicines & Medical Supplies	MGO	438,945.50
Supply, Delivery, Testing and Commissioning and Installation of Digital Electronic Siren with PA and Early Warning System with Public Address (PA)	Local Government Unit - Enrile	3,797,000.00
Supply and Delivery of Packed Rice	Local Government Unit - Enrile	3,584,000.00
Supply and Delivery of Packed Goods	Local Government Unit - Enrile	5,753,600.00
Total		**₱62,762,481.15**

5. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality as of December 31, 2024 due to the following:

1. Various disbursements incurred in CY 2024, amounting to ₱3.179 million, were misclassified under Donations and Other Maintenance and Operating Expenses, affecting the fair presentation of the related accounts in the Municipality's financial statements as of December 31, 2024;

2. Various transactions, amounting to ₱1.276 million, were misclassified under the *Due to PhilHealth* account, affecting the fair presentation of the related account in the Municipality's financial statements as of December 31, 2024;

3. Capitalized costs of completed projects for improvements of existing building amounting to ₱32.369 million which, by their nature, could not be utilized independently from the latter are depreciated separately from the main asset, and consequently understating Depreciation Expense and Accumulated Depreciation accounts by a net amount of ₱75,274.25;

4. Component items of the PPE totaling ₱1.860 million were misclassified into different accounts in the books of the Municipality; consequently, affecting the fair presentation of the PPE accounts in the financial statements of the Municipality as of December 31, 2024; and

5. The receipt by the Municipality in CY 2024 of various welfare goods from different agencies totaling at least ₱4.647 million and the subsequent disposition

thereof were not duly recognized in the books of accounts of the Municipality, resulting in the understatement of the asset, revenue and expense accounts presented in the financial statements as of December 31, 2024.

6. Summary of Significant Findings and Recommendations

A. The Municipal Treasurer's continued performance of the functions of both Liquidating Officer and Disbursing Officer undermines the Municipality's internal control over financial and cash management, contrary to Section 123 of P.D. No. 1445 and Section 50, Chapter 3, Volume III of the Government Accounting and Auditing Manual (GAAM).

We recommended that the Management enforce the implementation of EO No. 4, Series of 2024, to address the persistent deficiencies noted and to reinforce internal controls over the financial and cash management of the Municipality.

B. The inclusion under the 20% Development Fund (DF) of a lumpsum appropriation amounting to ₱2.500 million without itemized details for specific development projects, PPAs, and its subsequent utilization of ₱2.443 million for various undertakings, was not only contrary to Article 454(d) of the Implementing Rules and Regulations (IRR) of the Local Government Code of 1991 (RA 7160), but also compromised effective monitoring and evaluation of alignment between target development plans and actual accomplishments, as prescribed under Section 4(1) of P.D. No. 1445.

We recommended that Management, through the MPDO and the MBO, refrain from appropriating funds in lump sum and instead present itemized appropriations for specific development projects and activities, as embodied in the Municipality's local development plan, or obtain approval from the Local Sanggunian before proceeding with the implementation of any project to be charged against the said appropriation pursuant to Article 454(d) of the IRR of the Local Government Code of 1991 (RA 7160) and Section 4(1) of P.D. No. 1445.

We further recommended that the Management send a formal communication to the Local Sanggunian detailing the utilization of the generic item in the appropriation ordinance for their information and/or ratification, to uphold the principles of transparency and integrity of government expenditure.

C. As of December 31, 2024, an accumulated balance of ₱0.711 million in withholding taxes, mandatory deductions, and contributions arising from government obligations and disbursements had not been promptly remitted to the concerned agencies, contrary to the provisions of Section 69 of P.D. No. 1445 and other applicable laws, rules, and regulations, exposing the Municipality to the potential risk of penalties due to the delayed remittance.

We recommended that Management, through the offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by:

a. promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of Presidential Decree No. 1445 and other applicable laws, rules, and regulations; and

b. strengthening controls over the withholding and remittance process by conducting regular reconciliations, promptly recording necessary adjustments to reflect accurate balances, and addressing discrepancies as they arise.

D. Unrecouped Advances to Contractors, amounting to ₱0.436 million, highlights potential financial losses on the part of the Municipality and underscores challenges in effectively monitoring progress payments, contrary to Section 4, Annex E of the 2016 Revised IRR of R.A. No. 9184.

We recommended that Management, through the concerned offices, ensure strict compliance with Section 4, Annex E, of the 2016 Revised IRR of R.A. 9184, and protect the interest of the Municipality by:

a. submitting to the Audit Team proof of payment of the advances made to the contractor which remained unrecouped;

b. strictly monitoring the advance payments made to contractors, and ensuring that all advances are systematically recouped through progress payments; and

c. taking prompt action to resolve the outstanding unrecouped advances by thoroughly reviewing contracts, verifying the securities submitted, confirming the actual worked accomplished, and assessing whether full recoupment is still feasible, without prejudice to the imposition of any other legal actions necessary for their settlement.

E. The Municipality fully implemented 12 out of the 14 planned programs, projects, and activities (PPAs) under the Local Disaster Risk Reduction and Management Fund (LDRRMF) appropriations, totaling ₱9.430 million, and utilized the Quick Response Fund (QRF) amounting to ₱0.585 million, as of December 31, 2024, which contributed to the substantial attainment of its goals of reducing disaster risk and enhancing disaster preparedness and response capabilities.

We commended Management for the substantial utilization of the LDRRMF in accordance with Republic Act No. 10121 leading to the attainment of the objectives of the fund.

Nevertheless, we recommended that Management, through the MDRRMO, optimize the utilization of the 5% LDRRMF by:

a. expediting the full implementation of the recently received funds amounting to ₱10,040,000.00, in accordance with the provisions of the Deed of Donation; and

b. ensuring that the PPAs funded under the 5% LDRRMF for each budget year are well planned and procurement- and implementation-ready, to mitigate, if not entirely prevent, delays in project execution.

F. The Municipality substantially utilized ₱40.886 million, equivalent to 83.81 percent of the total available 20% Development Fund (DF) appropriations for CY 2024 and prior years, which facilitated the full implementation of 17 out of 22 programs, projects, and activities (PPAs), in accordance with DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020, and DILG-DBM JMC No. 2017-1 dated February 22, 2017, contributing to the attainment of the Municipality's intended socio-economic and environmental development outcomes.

We commended the Management and the concerned Departments for the efficient and effective planning for the timely implementation of PPAs resulting in the full implementation of 17 PPAs as of December 31, 2024, in accordance with DBM-DOF-DILG JMC No. 1 dated November 4, 2020 and DILG-DBM JMC No. 2017-1 dated February 22, 2017.

Nevertheless, we recommended that Management, through the concerned offices, further enhance fund utilization by strictly monitoring the implementation of PPAs, especially those considered MOOE in nature, to ensure completion within the year and avoid budget lapses and implementation without valid appropriation.

7. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	₱13,769,613.19	0.00	0.00	₱13,769,613.19	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**₱13,769,613.19**	**0.00**	**0.00**	₱13,769,613.19	**0.00%**
Disallowances:					
Prior Years	₱12,366,455.04	0.00	0.00	₱12,366,455.04	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**₱12,366,455.04**	**0.00**	**0.00**	₱12,366,455.04	**0.00%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

The 160 Notices of Disallowance issued in CY 2020 totaling P9,065,242.01 are currently under appeal with the Commission on Audit.

8. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2023 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	17	53.13%
Not implemented	6	18.75%
Not implemented and reiterated in CY 2024 AAR	9	28.13%
Total	**32**	**100.00%**